
Ultra Sound Money

Ethereum's Post-Merge Supply Dynamics and Monetary Premium

Supply

121.6M ETH

Gas

0.1 Gwei

ETH Price

\$2,243

Source: ultrasound.money

ETH Supply Growing at +0.83%/Year

Only 192 ETH burned in 7 days — burns offset just ~1% of issuance

Net Supply Change (7d)

+19,445.89 ETH

Issuance (7d)

19,638.29 ETH

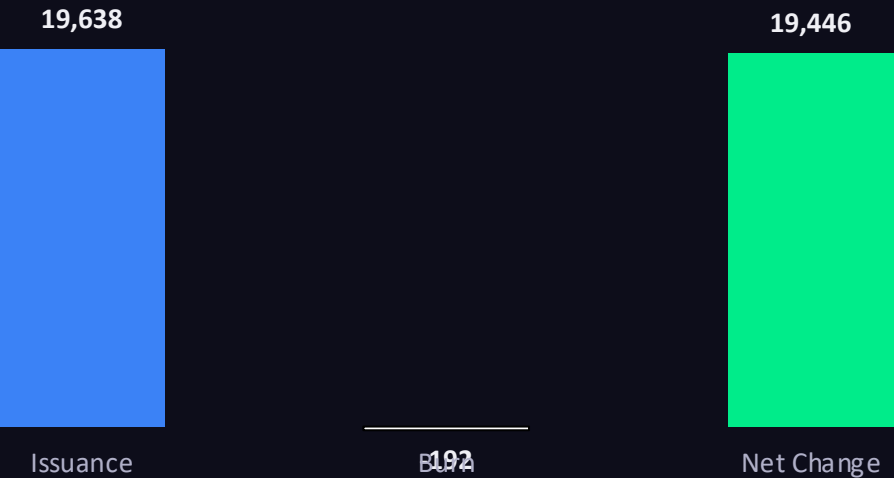
Burn (7d)

192.39 ETH

Offset Ratio

0.01x

ETH



Supply Context

Current Total Supply: 121,603,980 ETH

Annualized Growth Rate: +0.83%/year

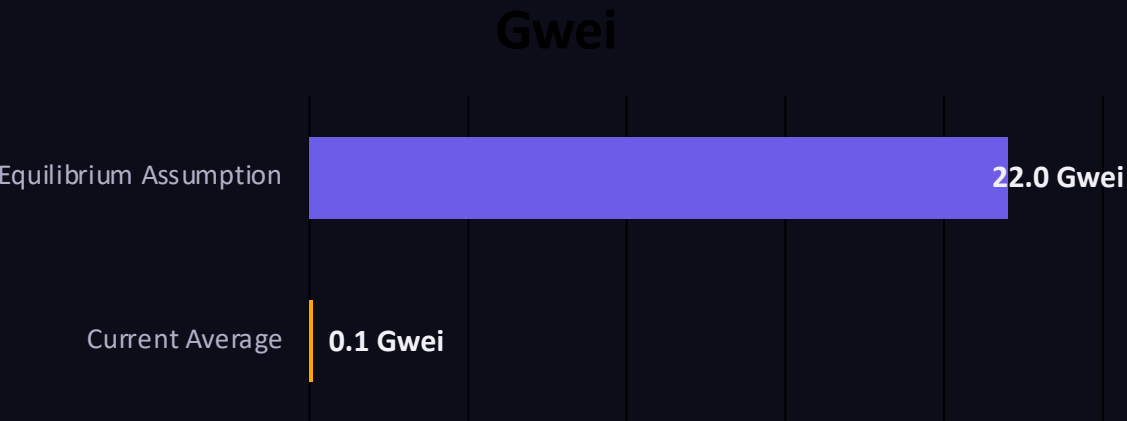
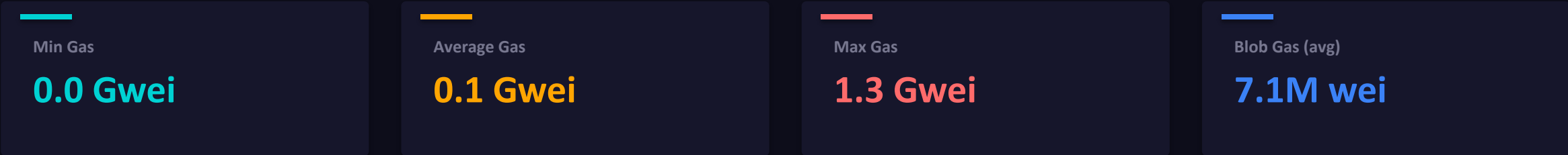
What This Means

At current gas levels, ETH is mildly inflationary. Burns offset only ~1% of new issuance — the network needs substantially higher on-chain activity to achieve deflationary supply dynamics.

The ultra sound money thesis remains structurally intact, but the burn mechanism requires sustained demand for block space to activate its deflationary potential.

Base Gas at Historic Lows: 0.1 Gwei Average Suppresses Fee Burn

EIP-1559 burn mechanism requires higher gas to drive deflationary supply dynamics



The 22 Gwei equilibrium assumption is far above current levels.
Low gas = low burn = temporary supply inflation.

Key Insight
Current gas (0.1 Gwei) is 220x below the 22 Gwei equilibrium assumption used in long-term supply projections.

Blob Fees (EIP-4844)
7-day blob fee burn: 0.15 ETH (\$319)
Blob gas avg: 7,144,934 wei

Implication
Low gas = low burn = temporary supply inflation. The structural mechanism is in place, but on-chain activity must recover for the deflationary flywheel to engage.

DeFi and ETH Transfers Account for 85% of Weekly Fee Burn

7-day burn by category — total ~192 ETH burned across all categories



Top Burn Leaders (7-Day)

ETH Transfers **21.74 ETH**

Tether USDT **13.55 ETH**

Category Breakdown

DeFi + ETH Transfers

53 ETH • ~85% of total burn

NFTs + Contracts

5 ETH • ~3% of total burn

L2 + MEV + Blobs

0 ETH • 0% of total burn

Recent blocks show 0.00–0.01 ETH burn per block
7-day record: 0.07 ETH in a single block

38.9M ETH Staked at 2.7% Issuance Rewards

Minimal tips and MEV — issuance dominates validator returns

Total Staked

38.9M ETH

% of Supply

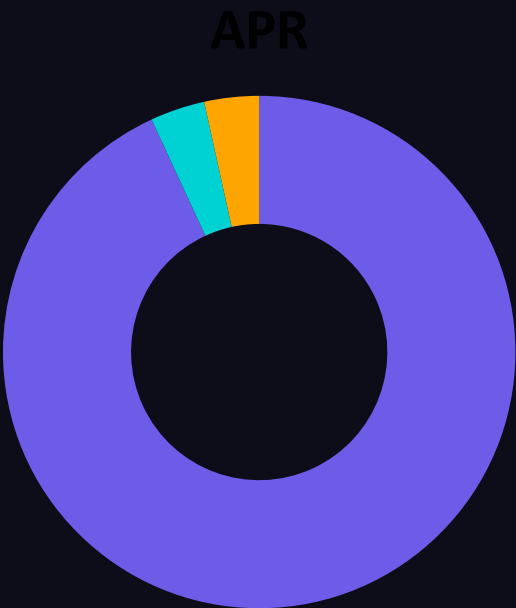
~32%

Total APR

~2.9%

Locked (Avg 10.7yr)

9.1M ETH



■ Issuance (2.7%) ■ Tips (0.1%) ■ MEV (0.1%)

Validator Rewards Breakdown

Issuance	0.9 ETH/val	2.7% APR
Tips	0.0 ETH	0.1% APR
MEV Estimate	0.0 ETH	0.1% APR
Total		~2.9% APR

Scarcity Engine

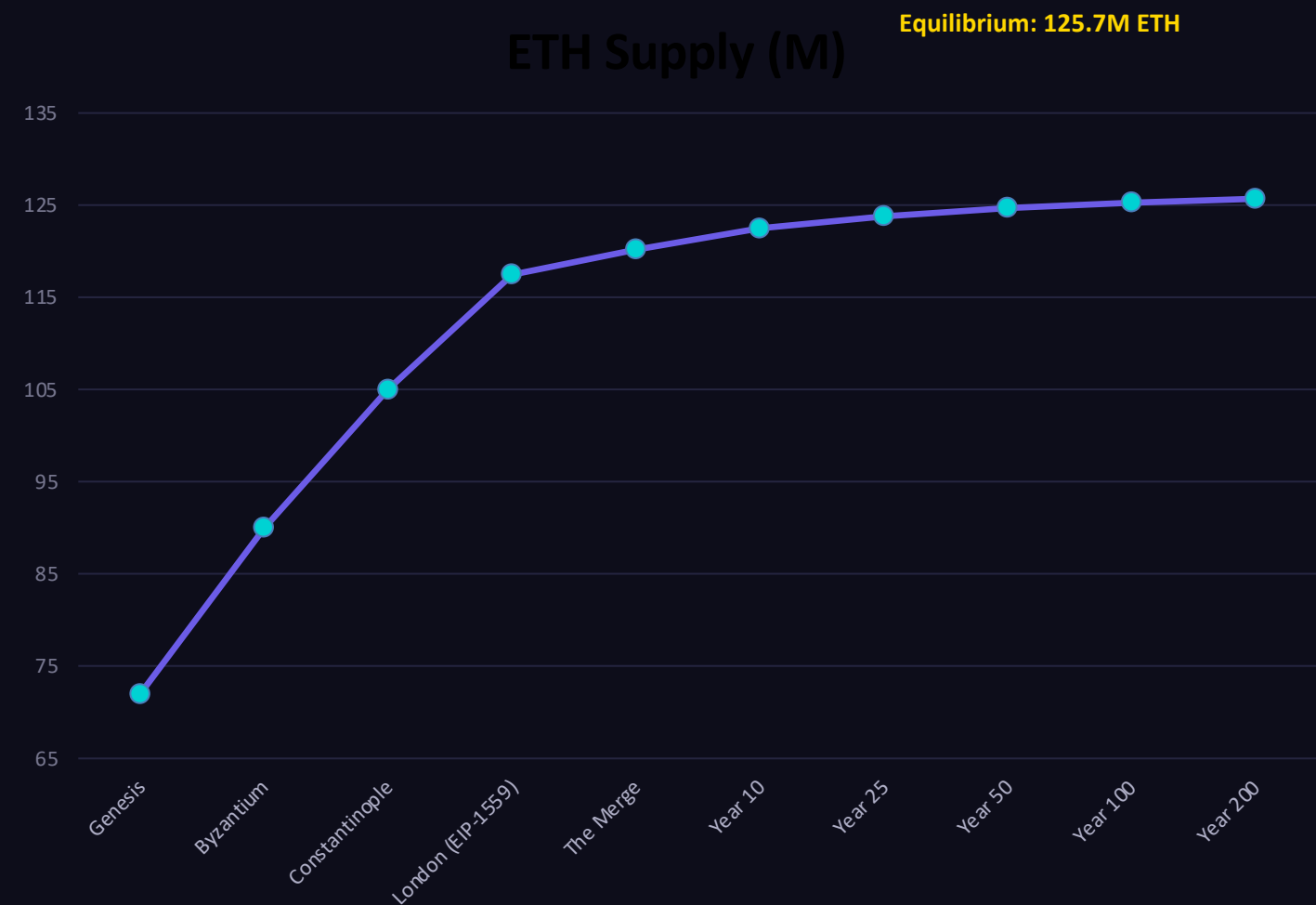
9.1M ETH locked in staking contracts
Average lock duration: 10.7 years

Supply Impact

PoS issuance: ~2,800 ETH/day
Fee burn (normalized): ~2,200 ETH/day
Net at normalized gas: ~+600 ETH/day

Long-Term Equilibrium Projected at 125.7M ETH

1,037K ETH/year issuance-burn balance at equilibrium — 200-year convergence model



Projection Parameters

Equilibrium Supply

125.7M ETH

Staked ETH Assumption

39M ETH

Base Gas Assumption

22 Gwei

Issuance-Burn Balance

1,037K ETH/year

Rate Breakdown

Staker issuance: 2.7%/year

Non-staker burn: 1.2%/year

Daily Dynamics

PoS issuance: 2,800 ETH/day

Fee burn: 2,200 ETH/day

Era transitions: Genesis (5 ETH/block) → Byzantium (3) → Constantinople (2) → London (burn) → Merge (PoW removed)

ETH at 18.7% of Bitcoin's Market Cap, Securing \$272B in Native Value

Total Value Secured exceeds \$307B across native ETH, ERC20s, and NFTs

ETH Market Cap vs Bitcoin

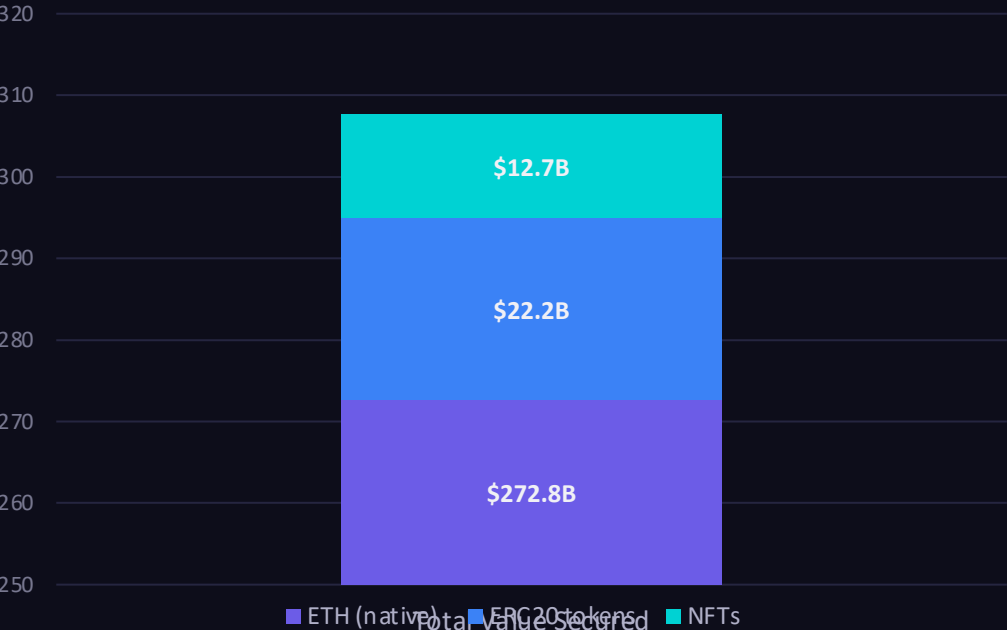
18.70%

ETH Market Cap vs USD

1.30%

ETH Market Cap vs Gold

0.89%



Total Value Secured: ~\$307.6B

ETH (native)	\$272.76B	88.7%
ERC20 tokens	\$22.21B	7.2%
NFTs	\$12.66B	4.1%

Top ERC20s		Top NFTs	
Dai	\$4.41B	CryptoPunks	\$2.13B
Shiba Inu	\$3.51B	BAYC	\$0.68B
Cronos	\$2.97B	ENS	\$0.63B
Tether Gold	\$2.65B	Pudgy Penguins	\$0.51B

Key Takeaways: Ultra Sound Money Thesis Intact

Gas activity is the critical variable — structural mechanics are sound, activity must recover

1

Mildly Inflationary at +0.83%/yr

ETH is currently slightly inflationary due to historically low gas (avg 0.1 Gwei). Burns offset only ~1% of issuance over the trailing 7 days.

2

Burn Mechanism Requires Activity

The EIP-1559 burn mechanism works but requires sustained on-chain activity. DeFi and ETH transfers account for 85% of the 192 ETH weekly burn.

3

38.9M ETH Staked = Supply Lock

32% of supply is staked with 9.1M ETH locked for avg 10.7 years. Validators earn ~2.7% APR primarily from protocol issuance.

4

Long-Term Equilibrium at 125.7M ETH

The structural projection converging to 125.7M ETH remains sound — contingent on gas recovering toward the 22 Gwei equilibrium assumption.

5

\$307B+ TVS Demonstrates Monetary Premium

ETH has reached 18.7% of Bitcoin's market cap and secures \$307.6B in total value, signaling growing but still early monetary premium.

Forward Outlook: The ultra sound money thesis is structurally intact. The path to deflationary supply depends on on-chain activity recovery — watch gas prices, L2 adoption, and DeFi usage as leading indicators.